MASTER COMMERCIAL TERMS & INCENTIVE SCHEDULE

Document Reference: B2B-INCENTIVE-V6/2026
Governing Horizon: Sixty (60) Consecutive Calendar Months from Commencement Date
Operational Framework: D+1 Daily Fulfillment Engine (Zero MOV / Zero MOQ)
Applicability: Unbranded Commodities, Staples & Value-Added Wholesale FMCG Lines

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1. Master Contractual Terms & Legal Clauses

CLAUSE 1: DEFINITIONS & VALUATION BENCHMARKS

1.1. **“Commencement Date”** means the date of execution or the first day of the calendar month immediately following execution, whichever is earlier.
1.2. **“Eligible Gross Spend”** means the aggregate invoiced procurement value generated by the Participant, net of applicable GST, verified returns, damaged goods credit notes, and logistics charges.
1.3. **“Audited EBITDA”** means the Earnings Before Interest, Taxes, Depreciation, and Amortization certified by the Company’s independent statutory auditor in its annual audited financial statements (MCA Form AOC-4).
1.4. **“Baseline Valuation”** means the locked entry enterprise valuation of ₹1,08,00,000 (Rupees One Crore Eight Lakhs), established on a baseline pool of 10,00,000 (Ten Lakhs) Common Notional Units, yielding a locked **Base Strike Price of ₹10.80 per Phantom Stock Unit (PSU)**.
1.5. **“Track 1 Operational Credits”** means instant, rolling invoice-level trade discounts credited to the Participant’s digital ledger and applied to subsequent orders.
1.6. **“Track 2 Phantom Stock Units (PSUs)”** means synthetic equity tracking units reflecting enterprise value appreciation, settled at Month 60.
1.7. **“Authorized Customer Growth Pool”** means the hard cap of 3,00,000 (Three Lakhs) PSUs (30% of the 10,00,000 Common Notional Unit base) reserved strictly for allocation among participating commercial clients.

CLAUSE 2: TRACK 1 — OPERATIONAL EFFICIENCY CREDITS (IMMEDIATE REWARD)

2.1. **Accrual Mechanics:** For each qualifying order placed by the Participant and fulfilled under the Company's D+1 delivery framework, the Participant earns rolling trade credits calculated as an invoice-level percentage deduction:

$$\text{Track 1 Credit Accrued} = \text{Net Taxable Invoice Value} \times \left(\%\,\text{Drop Bonus} + \%\,\text{Payment Bonus} + \%\,\text{Basket Bonus} \right)$$

2.2. **Behavioral Qualification Standards:** * **Drop Batching Bonus (+0.75%):** Applied to any invoice where the single delivery value meets or exceeds ₹35,000. Orders fulfilled below this threshold receive standard free D+1 delivery but accrue 0.00% under this specific sub-clause. * **Instant Digital Settlement Bonus (+1.00%):** Applied to invoices settled instantly via Dynamic UPI QR at the point of vehicle unloading, or via RTGS/IMPS within twenty-four (24) hours of dispatch. * **Multi-Category Basket Bonus (+0.50%):** Applied where the invoiced delivery contains products spanning two (2) or more distinct commodity classes (e.g., Edible Oils paired with Pulses, Grains, or Spices).

2.3. **Ledger Redemption:** Track 1 credits post to the Participant's digital account within forty-eight (48) hours of verified payment clearance. Credits may offset up to twenty-five percent (25%) of any subsequent purchase invoice. Track 1 credits are strictly non-encashable for direct wire transfers during the active operational term.

CLAUSE 3: TRACK 2 — VALUE-SPREAD & GROWTH-LINKED PHANTOM STOCK UNITS (PSUs)

3.1. **Notional Pool & Unit Drawdown:**
The Participant is granted synthetic PSU units calculated at the locked Base Strike Price of ₹10.80 against a notional credit base equal to thirty percent (30%) of their cumulative Eligible Gross Spend over the sixty (60) month tenure:

$$\text{Notional Allocation Base} = 30\,\% \times \text{Cumulative 5-Year Eligible Gross Spend}$$

3.2. **Proportional Customer Pool Allocation (No Concentration Penalties):**
The Authorized Customer Growth Pool of 3,00,000 PSUs shall be allocated among qualifying Participants strictly in proportion to their verified Eligible Gross Spend relative to the aggregate qualifying spend of all participating active accounts over the sixty (60) month tenure:

$$\text{Allocated PSUs} = \left(\frac{\text{Participant's 5-Year Eligible Gross Spend}}{\sum \text{Total Eligible Gross Spend of All Participating Accounts}} \right) \times 3,00,000 \text{ PSUs}$$

No artificial per-account unit ceiling shall apply. Each Participant's entitlement tracks their direct economic contribution to the Company without dilution or cross-tier redistribution.

3.3. **The Multiplier Scorecard Architecture (M_i):**
At Month 60, the Company's Year 5 Audited EBITDA is multiplied by an Earned Valuation Multiple (M_i) starting at a base floor of 4.00x and expanding across three objective dimensions:

$$M_i = 4.00\text{ x (Base Floor)} + \Delta M_{\text{Spread}} + \Delta M_{\text{Growth}} + \Delta M_{\text{Ops}}$$

(a) Purchase Spread & SKU Margin Track (ΔM_{Spread})

- **Class A (Low Margin / Spread < 4.0%):** Bulk loose edible oils, refined sugar, raw milling grains $\Longrightarrow$ **Assigned Weight: 1.0x**
- **Class B (Medium Margin / Spread 4.1%–7.0%):** Sortex pulses, institutional flours, specialty rices $\Longrightarrow$ **Assigned Weight: 1.5x**
- **Class C (High-Margin Value-Add / Spread > 7.1%):** Whole spices, blended seasonings, culinary sauces, food-grade packaging $\Longrightarrow$ **Assigned Weight: 2.5x**

$$\text{Weighted Margin Score}\,(WMS) = \frac{(\text{Spend}_A \times 1.0) + (\text{Spend}_B \times 1.5) + (\text{Spend}_C \times 2.5)}{\text{Total Eligible Gross Spend}}$$

- $WMS < 1.25$: $\Delta M_{\text{Spread}} = +0.00\,x$
- WMS between 1.25 and 1.74: $\Delta M_{\text{Spread}} = +0.50\,x$
- $WMS \geq 1.75$: $\Delta M_{\text{Spread}} = +1.00\,x$

(b) Year-over-Year (YoY) Revenue Growth Multiplier Track (ΔM_{Growth})

- **Tier 1 (Stagnant / Below 5.0% YoY CAGR):** $\Delta M_{\text{Growth}} = +0.00\,x$
- **Tier 2 (Moderate Scale / 5.0% to 9.9% YoY CAGR):** $\Delta M_{\text{Growth}} = +0.50\,x$
- **Tier 3 (Target Consistency / 10.0% to 14.9% YoY CAGR):** $\Delta M_{\text{Growth}} = +1.25\,x$
- **Tier 4 (High Scale / ≥ 15.0% YoY CAGR):** $\Delta M_{\text{Growth}} = +2.00\,x$
  (Requires positive YoY spend expansion in at least 4 out of the 5 financial years).

(c) Operational Hygiene Multiplier Track (ΔM_{Ops})

- Zero payment delays past agreed terms throughout the 60-month horizon: **+1.00x**
- Lifetime average order value ≥ ₹35,000 per drop: **+0.75x**

- Unbroken monthly ordering continuity (zero 60-day billing lapses): **+0.50x**

3.4. **Multiple Ceiling & Valuation:** In no event shall M_i exceed **8.50x Audited EBITDA**. The Year 5 Exit Fair Market Value (FMV) per PSU equals:

$$\text{Exit FMV per Unit} = \frac{M_i \times \text{Year 5 Audited EBITDA}}{10,00,000 \text{ Units}}$$

$$\text{Per-Unit Appreciation Gain}\left(\Delta\right) = \text{Exit FMV per Unit} - ₹\,10.80$$

$$\text{Gross PSU Entitlement} = \text{Allocated PSUs} \times \Delta$$

CLAUSE 4: THE AGGREGATE 30% REVENUE CEILING & BALANCE SHEET CIRCUIT BREAKERS

4.1. **The Lifetime 30% Gross Spend Ceiling:** The combined value realized across both tracks (Track 1 credits + Track 2 PSU redemption) cannot exceed thirty percent (30%) of the Participant's cumulative Eligible Gross Spend:

$$\text{Final Payable PSU Amount} = min\left(\text{Gross PSU Entitlement}, \left(0.30 \times \text{Cumulative Gross Spend}\right) - \text{Cumulative Track}\right.$$

4.2. **Free Reserves & Surplus Solvency Cap:** The aggregate lifetime cash redemption value of all issued and vested PSUs across all program participants shall not exceed **twenty percent (20%) of the Company's Audited Free Reserves and Surplus** (excluding revaluation reserves) as certified in the Year 5 Audited Balance Sheet. Excess liabilities roll forward into subsequent fiscal years without interest.

4.3. **Annual PAT Cash Outlay Ceiling:** The Company's total cash payout across all loyalty and PSU obligations in any single fiscal year shall not exceed **twenty percent (20%) of Audited Profit After Tax (PAT)** for that year.

4.4. **Accelerated Liquidity Event Carve-Out (New Equity Sales):** In the event of a Change of Control, qualified institutional equity financing, or strategic promoter secondary share sale prior to or at Month 60: * All unvested PSUs held by Participants in good standing shall accelerate and vest in full; * Redemptions shall be settled directly out of a dedicated transaction carve-out pool equal to **not less than ten percent (10%) and not more than fifteen percent (15%) of net realized cash proceeds**, in complete satisfaction of Track 2 liabilities.

CLAUSE 5: SETTLEMENT WATERFALL & FORFEITURE

5.1. **Staggered 3-Tranche Amortization:** The Final Payable PSU Amount shall be settled across twenty-four (24) months: * **Tranche 1 (50%):** Disbursed within forty-five (45) days of the formal filing of the Year 5 Audited Balance Sheet. * **Tranche 2 (25%):** Disbursed at Month 66. * **Tranche 3 (25%):** Disbursed at Month 72.

5.2. **50/50 Settlement Distribution:** Each tranche is paid: * **50% via Electronic Bank Transfer (RTGS)**, subject to applicable TDS under Section 194R/194H of the Income-tax Act, 1961. * **50% via Non-Cash Trade Credit Notes**, redeemable against subsequent bulk orders (capped at 25% of any future invoice value).

5.3. **Active Account Covenant:** Tranches 2 and 3 remain contingent upon the Participant maintaining active purchasing status (quarterly volume $\geq 50\%$ of trailing historical quarterly run-rate). Defection to competitors or unresolved material defaults forfeits all unpaid tranches.

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2. Multi-Tier Quantitative Performance Walkthroughs

Corporate Scaling Baseline (Year 1 to Year 5)

- **Company Turnover:** Scales from ₹15 Crore to **₹30 Crore** (₹110 Crore cumulative 5-year turnover).
- **Year 5 Audited EBITDA: ₹75,00,000**.
- **Audited Free Reserves: ₹1,10,00,000 $\Longrightarrow$ 20% Free Reserves Cap = ₹22,00,000 / year**.
- **Cohort Qualifying Spend:** ₹9.36 Crore across 4 participating tiers.
- **Earned Multiplier (M_i):** 8.00x $\Longrightarrow$ Enterprise Valuation = ₹6,00,00,000 $\Longrightarrow$ **Exit FMV = ₹60.00 / unit** ($\Delta = ₹\,49.20$).

Performance Ledger: Comparison Across All 4 Tiers

Metric / Step	Tier 1: Micro Café (Client A)	Tier 2: Mid-Sized Dining (Client B)	Tier 3: QSR Chain (Client C)	Tier 4: Enterprise Anchor (Client D)
Monthly Spend	₹35,000 / month	₹1,25,000 / month	₹4,00,000 / month	₹10,00,000 / month

Metric / Step	Tier 1: Micro Café (Client A)	Tier 2: Mid-Sized Dining (Client B)	Tier 3: QSR Chain (Client C)	Tier 4: Enterprise Anchor (Client D)
Run-Rate				
Cumulative 5-Year Spend	**₹21,00,000**	**₹75,00,000**	**₹2,40,00,000**	**₹6,00,00,000**
Cohort Spend Contribution %	2.24%	8.01%	25.64%	64.10%
PSU Allocation (3L Pool)	**6,731 Units**	**24,038 Units**	**76,923 Units**	**1,92,308 Units**
Track 1 Credits Claimed (2.25%)	₹47,250	₹1,68,750	₹5,40,000	₹13,50,000
Track 2 PSU Payout (Units × ₹ 49.20 **)**	₹3,31,165	₹11,82,670	₹37,84,612	₹94,61,553
Total Value Delivered (T1 + T2)	**₹3,78,415**	**₹13,51,420**	**₹43,24,612**	**₹1,08,11,553**
Contractual 30% Spend Cap	₹6,30,000	₹22,50,000	₹72,00,000	₹1,80,00,000
Cap Compliance Status	Intact (Below Cap)	Intact (Below Cap)	Intact (Below Cap)	Intact (Below Cap)
Effective 5-Year Return %	**18.02%**	**18.02%**	**18.02%**	**18.02%**

Step-by-Step Behavioral Scenario Breakdowns

Case 1: The Disciplined Anchor (Tier 4 / Client D)

- **Spend:** ₹6.00 Crore across 5 years.
- **Behavior:** 100% payments via RTGS ≤ 24 hours (+1.00x), scheduled FTL drops $\geq$ ₹1.5L (+0.75x), unbroken monthly orders (+0.50x), 12% YoY revenue growth (+1.25x), Class B/C basket expansion (+0.50x).
- **Earned Multiplier (M_i):** $4.00 + 1.00 + 0.75 + 0.50 + 1.25 + 0.50 = 8.00\,x$.
- **Payout:** Receives **₹13,50,000** in rolling invoice deductions and **₹94,61,553** in long-term equity harvest, totaling **₹1,08,11,553 (18.02% yield)**. Settled via the 3-tranche 50/50 schedule: **₹47.3L Cash Wire / ₹47.3L Trade Credit Notes**.

Case 2: The High-Margin Small Café (Tier 1 / Client A)

- **Spend:** ₹21 Lakhs across 5 years (~₹35k/month).
- **Behavior:** Uses D+1 next-day delivery, batches into ₹35k drops (+0.75x), pays via instant UPI QR on vehicle arrival (+1.00x), continuous ordering (+0.50x), 10% YoY growth (+1.25x), orders whole spices and packaging alongside oil (+0.50x spread).
- **Earned Multiplier (M_i):** $4.00 + 0.75 + 1.00 + 0.50 + 1.25 + 0.50 = 8.00\,x$.
- **Payout:** Receives **₹47,250** in rolling invoice deductions and **₹3,31,165** in Month 60 PSU redemption, totaling **₹3,78,415 (18.02% yield)**.

Case 3: The Erratic, Late-Paying High-Ticket Buyer (Negative Covenant Impact)

- **Spend:** ₹6.00 Crore (Identical spend to Client D).
- **Behavior:** Payments delayed 15–20 days (Tier C = +0.00x), fragmented emergency micro-drops (Tier C = +0.00x), seasonal order drop-offs (Tier C = +0.00x), low-margin commodity only ($WMS < 1.25$ = +0.00x), flat YoY growth (+0.00x).
- **Earned Multiplier (M_i):** Remains locked at **4.00x Base Floor**.
- **FMV per Unit:** $\frac{4.00 \times ₹\,75\,\text{L}}{10,00,000} = ₹\,30.00 \implies \Delta = ₹\,30.00 - ₹\,10.80 = ₹\,19.20$.
- **Track 1 Credits Claimed:** ₹0 (Disqualified due to late payments and sub-threshold drops).
- **Track 2 PSU Payout:** $1,92,308\,\text{PSUs} \times ₹\,19.20 = ₹\,36,92,313$.
- **Commercial Impact:** Payout drops by **₹71,19,240 (-66%)** compared to disciplined Client D. The unearned ₹71 Lakhs remains in company reserves to cover the financing and delivery friction this client created.

3. Execution & Formal Signatures

IN WITNESS WHEREOF, the Parties hereto have caused this Master Commercial Terms & Incentive Schedule to be executed by their duly authorized representatives as of the date first written above.